

25CV06755 Marc Dranchak vs Invoca Inc

County: santa-barbara

Division: Civil Law & Motion

Department: 4 SB-Anacapa

Hearing date: 2026-07-10

Motion: CMC Demurrer

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Case Number

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Case Type

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Hearing Date / Time

Fri, 07/10/2026 - 10:00

Nature of Proceedings

CMC Demurrer

Tentative Ruling

For all reasons stated herein, the demurrer of defendant Invoca, Inc., is sustained with leave to amend. Plaintiff may file a first amended complaint on or before July 27, 2026.

Background:

On October 27, 2025, plaintiff Marc Dranchak initiated this action by filing a class action complaint against defendant Invoca, Inc. The complaint sets forth one cause of action for violation of The Arizona Telephone, Utility, and Communication Service Records Act (TUCSRA), Arizona Revised Statutes section 44-1376.

As alleged in the complaint:

Plaintiff is domiciled in Arizona and alleges a putative class consisting of similarly situated Arizona residents. (Compl., ¶¶ 7, 37.) Defendant is a business located in Santa Barbara that provides conversation artificial intelligence (AI) services based on defendant's AI tools. (Compl., ¶ 8.)

Defendant uses AI to analyze phone conversations at scale and unlock insights for its customers. (Compl., ¶ 18.) These services allow defendant's customers to measure call quality, intent, and outcomes, transforming conversations into actionable data. (Ibid.) Defendant records conversations, extracts data, and analyzes conversations to which it is not a party. (Compl., ¶ 21.) Defendant itself is collecting the content of the conversations. (Ibid.) That data is then analyzed by defendant on behalf of defendant's customers. (Compl., ¶ 22.)

One of defendant's customers is AT&T, a leading communications technology company. (Compl., ¶ 25.) Through AT&T's use of defendant's services, defendant reads, learns, monitors, and otherwise intercepts the content of communications between AT&T and its customers. (Compl., ¶ 27.)

Plaintiff is an AT&T customer in Arizona. (Compl., ¶ 30.) Plaintiff called AT&T's customer service line several times from his home to discuss his telephone bill. (Ibid.) Plaintiff understood and expected these conversations were between himself and AT&T. (Compl., ¶ 31.) Plaintiff did not expect that defendant, a third party, was listening in on his conversations. (Ibid.) Plaintiff did not have any reason to suspect that call recording, transcription, and analyses were being performed by a third party, defendant, rather than by AT&T. (Ibid.)

Defendant procured plaintiff's entire conversations with AT&T customer service. (Compl., ¶ 32.) Defendant monitored, recorded, and transcribed plaintiff's conversations with AT&T in real-time and performed AI analyses on the content of the calls. (Ibid.) This included capturing plaintiff's intent and reason for calling, service interests, and call outcome. (Ibid.) Defendant tracked the words and phrases said during the conversations. (Ibid.) Through this process, defendant read and learned, in real-time, the contents of plaintiff's conversations with AT&T. (Ibid.)

Neither AT&T nor defendant informed plaintiff prior to recording that defendant

was listening in on customer phone calls with AT&T, including that the content of his phone calls with AT&T are being recorded, analyzed, and procured by defendant. (Compl., ¶ 33.) Defendant and AT&T failed to obtain plaintiff's consent for defendant to record his phone calls. (Ibid.) Defendant conspired with AT&T to procure in real time plaintiff's telephone record. (Compl., ¶ 35.)

On May 8, 2026, defendant filed a demurrer to the complaint arguing the complaint fails to state facts sufficient to constitute a cause of action under TUCSRA because the complaint fails to allege that defendant obtained telephone records without authorization or by fraudulent, deceptive, or false means. Moreover, as argued by defendant, the conduct at issue falls within a statutory exception to TUCSRA and Arizona has a long-standing one-party consent rule for recording phone calls. Plaintiff opposes the demurrer.

Analysis:

(1) Standard on Demurrer

"Because the function of a demurrer is to test the sufficiency of a pleading as a matter of law, we ... assume the truth of the allegations in the complaint, but do not assume the truth of contentions, deductions, or conclusions of law. [Citation.] It is error for the trial court to sustain a demurrer if the plaintiff has stated a cause of action under any possible legal theory, and it is an abuse of discretion for the court to sustain a demurrer without leave to amend if the plaintiff has shown there is a reasonable possibility a defect can be cured by amendment." (California Logistics, Inc. v. State of California (2008) 161 Cal.App.4th 242, 247). "The reviewing court gives the complaint a reasonable interpretation, and treats the demurrer as admitting all material facts properly pleaded." (Payne v. National Collection Systems, Inc. (2001) 91 Cal.App.4th 1037, 1043.)

"[I]n ruling on a demurrer the trial court may take into account in addition to the complaint itself any matter that may be properly considered under the doctrine of judicial notice." (Cruz v. County of Los Angeles (1985) 173 Cal.App.3d 1131, 1133-1134.)

(2) Application of Arizona Law

"To persuade a California court to apply the law of another state, 'the proponent of the other forum's laws must invoke the law of the foreign jurisdiction, show that it materially differs from California law, and demonstrate how applying that law will further the interest of the foreign jurisdiction. [Citation.] Otherwise, a California court will apply its own rules of decision.' " (Textron Inc. v. Travelers Casualty & Surety Co. (2020) 45 Cal.App.5th 733, 755.) Neither party addresses this issue. However, given that the complaint seeks to establish violations of a unique Arizona statute as to Arizona residents based on phone calls originating in Arizona, the court will apply Arizona law. The court finds that applying Arizona law to this dispute will further the interests of Arizona.

(3) TUCSRA

"In 2006, Arizona enacted the Telephone Records Act (TRA), which made it illegal for data brokers to engage in 'pretexting'—the practice of fraudulently obtaining and selling customer telephone records without consent. [Citations.] The TRA made it illegal to '[k]nowingly procure ... a telephone record of any resident of [Arizona] without the authorization of the customer to whom the record pertains or by fraudulent, deceptive or false means.' [Citation.] The TRA defined 'telephone record' as customer information '[r]etained by a telephone company,' including call times, duration, charges, and location from or to which the call was made. [Citation.]

"In 2007, Arizona enacted TUCSRA to extend pretexting protections to public utility and communication service records. [Citations.] TUCSRA provides that '[a] person shall not ... [k]nowingly procure ... a public utility record, a telephone record or a communication service record ... without [] authorization ... or by fraudulent, deceptive or false means. [Citation.]" (Williams v. Pacific Sunwear of California LLC (D. Ariz., Apr. 16, 2025, No. CV-24-02015-PHX-JJT) 2025 WL 1135160, at *2–3, italics removed (Williams).)

Under TUCSRA, "[a] person shall not ... [¶] [k]nowingly procure, attempt to procure, solicit or conspire with another to procure ... a telephone record or communication service record of any resident of [Arizona] without the authorization of the customer to whom the record pertains or by fraudulent, deceptive or false means. [¶] ... [¶] [or] ... receive a ... telephone record or communication service record of any resident of [Arizona] knowing that the record has been obtained without the authorization of the customer to whom the record pertains or by fraudulent, deceptive or false means." (A.R.S. § 44-1376.01(A)(1), (3).)

A telephone record "means information that is: [¶] (a) Retained by a telephone company and that relates to the telephone number dialed by the customer or the incoming number of the call directed to a customer or other data related to such calls typically contained on a customer telephone bill, including the time the call started and ended, the duration of the call, the time of day the call was made, any charges applied and any information that indicates the location from which or to which the call was made. [¶] (b) Made available to a telephone company by a customer solely by virtue of the relationship between the telephone company and the customer. Telephone record does not include any information collected and retained by or on behalf of customers using caller identification or similar technology." (A.R.S. § 44-1376(7).)

" 'Communication service record' includes subscriber information, including name, billing or installation address, length of service, payment method, telephone number, electronic account identification and associated screen names, toll bills or access logs, records of the path of an electronic communication between the point of origin and the point of delivery and the nature of the communication service provided, such as caller identification, automatic number identification, voice mail, electronic mail, paging or other service features. Communication service records do not include the content of any stored oral, wire or electronic communication or a telephone record." (A.R.S. § 44-1376(1).)

"[TUCSRA] does not prohibit a public utility, a telephone company or an entity that maintains communication service records from obtaining, using, disclosing or permitting access to any public utility record, telephone record or communication service record, either directly or indirectly through its agents:

1. As otherwise authorized by law.

2. With the lawful consent of the customer or subscriber.

3. As may be necessarily incident to the rendition of the service or to the protection of the rights or property of the provider of that service or to protect users of those services and other carriers from fraudulent, abusive or unlawful use of or subscription to those services...." (A.R.S. § 44-1376.02(B).)

"In a civil action, a customer whose communication service records, telephone records or public utility records were procured, sold or received in violation of this article may recover from the person that committed the violation the following relief:

"1. Preliminary and other equitable or declaratory relief as may be appropriate.

"2. Damages equal to the sum of the actual damages suffered by the plaintiff and any profits made by the violator as a result of the violation but in no case shall a person entitled to recover receive less than one thousand dollars.

"3. Reasonable attorney fees and other litigation costs that are reasonably incurred." (A.R.S. § 44-1376.04(A).)

(4) Plaintiff's Allegations

The complaint alleges that "[a]t all relevant times, AT&T contracted with Defendant." (Compl., ¶ 9.) "Through AT&T's use of Defendant's services, Defendant reads, learns, monitors, and otherwise intercepts the content of communications between AT&T and its customers." (Compl., ¶ 27.) Plaintiff alleges that he called AT&T's customer service line several times and discussed aspects of his telephone bill. (Compl., ¶ 30.) Plaintiff alleges his calls were recorded by defendant including information that is a "telephone record." (Compl., ¶¶ 4, 35.)

Plaintiff alleges he "did not expect or have any reason to expect that Defendant, a third party, was listening in on his conversations[.] nor did he have any reason to suspect that call recording, transcription, and analysis were being provided by a third party, Defendant, rather than AT&T." (Compl., ¶ 31.) Under a reasonable reading of plaintiff's complaint, plaintiff understood or anticipated that AT&T would engage in "call recording, transcription, and analysis," but he did not know that defendant would be providing these services on behalf of AT&T as a third party service provider. (Compl., ¶¶ 4, 9, 30, 31, 35.)

Plaintiff alleges that defendant violated TUCSRA by "capturing Plaintiff's intent and/or reason for calling, service interests, conversion outcome, and tracked the words and phrases they said during the conversations. Through this process, Defendant read and learned, in real-time, the contents of Plaintiff's conversations with AT&T." (Compl., ¶ 32.) "Neither AT&T nor Defendant informed Plaintiff prior to recording that Defendant was listening in on customer phone calls with AT&T, including that the content of phone calls with AT&T are being recorded, analyzed, and procured by Defendant." (Compl., ¶ 33.)

(5) The Recorded Content of Plaintiff's Phone Conversations with AT&T Is not Governed by the TUCSRA under the Circumstances Alleged in the Complaint

Under TUCSRA, the category of “communication service records” expressly “do[es] not include the content of any stored oral, wire or electronic communication.” (A.R.S. § 44-1376(1).) Moreover, the narrower category of telephone records pertains to “data related to such calls typically contained on a customer telephone bill, including the time the call started and ended, the duration of the call, the time of day the call was made, any charges applied and any information that indicates the location from which or to which the call was made.” (A.R.S. § 44-1376(7).)

The complaint does not allege that defendant procured “data related to such calls.” (See A.R.S. § 44-1376(1).) Rather, plaintiff complains that the content of his oral conversation was recorded by a third party without his authorization thereby infringing on his privacy rights.

These issues raised by the complaint are governed by a different statutory framework in Arizona, the Eavesdropping and Communications Act (ECA). (See A.R.S. § 13-3001 et seq.) “Seven years before TUCSRA was enacted, Arizona amended the [ECA] to allow prosecutors to subpoena ‘communication service records’ from ‘communication service providers’ operating in the state. [Citations.] ... Notably, the ECA uses the identical definition of ‘communication service record’ that TUCSRA would later adopt.” (Williams, supra, 2025 WL 1135160, at *2.)

“TUCSRA and the ECA must be read together as complementary statutes within Arizona’s regulatory framework for communications.... Here, both TUCSRA and the ECA regulate the protection of subscribers’ communication records, and the legislature deliberately used the same language to define the operative term—communication service records—in both statutes. [Citations.] ... Therefore, the Court shall construe TUCSRA and the ECA together as part of a unified statutory scheme. In doing so, the Court is obliged ‘to harmonize statutory provisions and avoid interpretations that result in contradictory provisions.’ [Citation.]” (Williams, supra, 2025 WL 1135160, at *3; see Smith v. Target Corporation (Ariz. Ct. App. 2025) 261 Ariz. 215 [581 P.3d 1191, 1194–1195].)

Under the ECA, it is unlawful to “[i]ntentionally intercept[] a conversation or discussion at which he is not present, or aid[], authorize[], employ[], procure[] or permit[] another to so do, without the consent of a party to such conversation or discussion.” (A.R.S. § 13-3005, subd. 2.) However, it is not unlawful under the ECA “if the interception is effected with the consent of a party to the communication or a person who is present during the communication, or the installation of a pen register or trap and trace device with the consent of a user or subscriber to the service.” (A.R.S. § 13-3012(9); see A.R.S. § 13-3005(B).)

The court also notes that Arizona is a one-party consent state. “Monitoring and recording of a telephone conversation with the consent of one party, sometimes referred to as ‘participant monitoring’ or ‘consent surveillance,’ is authorized by statute in Arizona.” (State of Arizona v. Allgood, 171 Ariz. 522, 523 [831 P.2d 1290, 1291] (Ct. App. 1992); see A.R.S. § 13-3012(9).) TUCSRA expressly excludes conduct “[a]s otherwise authorized by law.” (A.R.S. § 44-1376.02(B)(1).)

Given the express limitation in the ECA of one-party consent and the express limitation in TUCSRA that communication service records do not include the content of oral phone conversations and that TUCSRA does not apply to conduct otherwise authorized by law, the court finds that the alleged recording of the contents of the communications between plaintiff and AT&T is not governed under TUCSRA as alleged in the complaint. If the Arizona Legislature had intended to protect the recording of oral conversations with the passage of the TUCSRA, it would have expressly stated this protection. Instead, it expressly exempted the contents of oral conversations from the definition of communication service records and expressly exempted conduct as otherwise authorized by existing law.

The conduct described in the complaint appears to be governed by the ECA rather than the TUCSRA. Plaintiff cites no case law interpreting TUCSRA in the manner advanced by his complaint. Accordingly, the court will sustain the demurrer on this basis with leave to amend.

(6) Plaintiff Fails to Allege that Defendant Knowingly Procured a Telephone Record in Violation of TUCSRA

Absent from the complaint is any allegation that AT&T did not have authorization to record his communications containing his telephone records. Absent from the complaint is any allegation that defendant knew AT&T did not have authorization to record plaintiff's communications with AT&T.

That AT&T contracted with defendant to analyze customer service calls on behalf of AT&T does not, in and of itself, constitute a conspiracy to obtain telephone records under TUCSRA. That AT&T used a third party service provider to perform these AI services on its behalf rather than performing the services itself does not, without more, constitute fraud or deception. TUCSRA expressly permits use of a telephone record by AT&T "either directly or indirectly through its agents ... [a]s may be necessarily incident to the rendition of the service." (A.R.S. § 44-1376.02(B)(3).)

Even assuming *arguendo* that plaintiff's conversations with AT&T are telephone records as alleged in the complaint, the allegations fall short of establishing that defendant "knowingly procured" or conspired with another to procure a telephone record "without the authorization" of plaintiff or "by fraudulent, deceptive or false means." (A.R.S. § 44-1376.01(A)(1), (3).) The complaint also does not establish that defendant received such record "knowing that the record has been obtained without the authorization of the customer to whom the record pertains or by fraudulent, deceptive or false means." (*Ibid.*)

TUCSRA's legislative history confirms this reading. In the context of this statute, the term "without authorization" is targeted to prevent the practice of gaining access to telephone record information "by posing as the customer, then offering the records for sale on the Internet without the customer's consent or knowledge." (RJN, Ex. 5, p.1; see RJN, Ex. 1, p.1; RJN, Ex. 2, p.1; Williams, *supra*, 2025 WL 1135160, at *2-3 [explaining pretexting].) This is not the type of conduct alleged in the complaint.

The complaint fails to allege facts establishing this element of the TUCSRA. The court will sustain the demurer with leave to amend on this additional basis.

(7) Request for Judicial Notice

Defendant requests that the court take judicial notice of the following documents;

(1) A true and correct copy of the Arizona Bill Summary on House Bill 2785, dated

April 24, 2006, attached hereto as Exhibit 1.

(2) A true and correct copy of the Arizona Fact Sheet on House Bill 2785, dated March 27, 2006, attached hereto as Exhibit 2.

(3) A true and correct copy of the Arizona Fact Sheet on House Bill 2785, dated March 12, 2007, attached hereto as Exhibit 3.

(4) A true and correct copy of the Arizona House of Representatives Committee on

Commerce Minutes, dated February 15, 2006, attached hereto as Exhibit 4.

(5) A true and correct copy of the Arizona Bill Summary on House Bill 2785, dated

February 16, 2006, attached hereto as Exhibit 5.

(6) A true and correct copy of the Arizona Bill Status on House Bill 2785, dated May

8, 2006, attached hereto as Exhibit 6.

(7) A true and correct copy of the First Amended Class Action Complaint filed by

Plaintiff's counsel in Busby v. Invoca, Case No. 3:24-cv-05542-JD (N.D. Cal. 2024), Dkt. 21, attached hereto as Exhibit 7.

The court will grant judicial notice of exhibits 1 through 6 since these documents were pertinent to the court's analysis. (See Evid. Code, § 452, subd. (d).) The request is otherwise denied.

Judges

Judge Donna D. Geck

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